



Cambridge International Examinations  
Cambridge Ordinary Level

**ECONOMICS**

Paper 1 Multiple Choice

**2281/11**

**May/June 2016**

**45 minutes**

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)



**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.

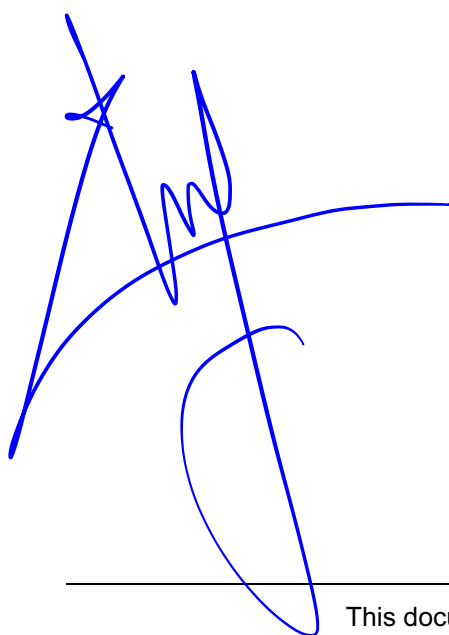
There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

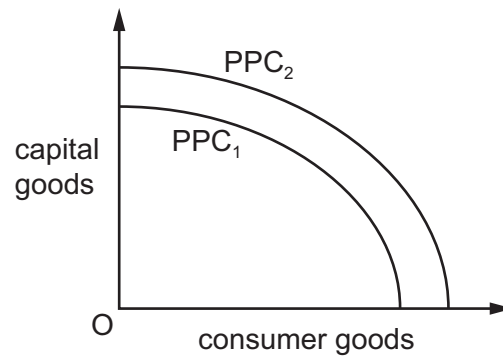


Done

This document consists of **11** printed pages and **1** blank page.



- 1 The diagram shows an initial production possibility curve of  $PPC_1$ .

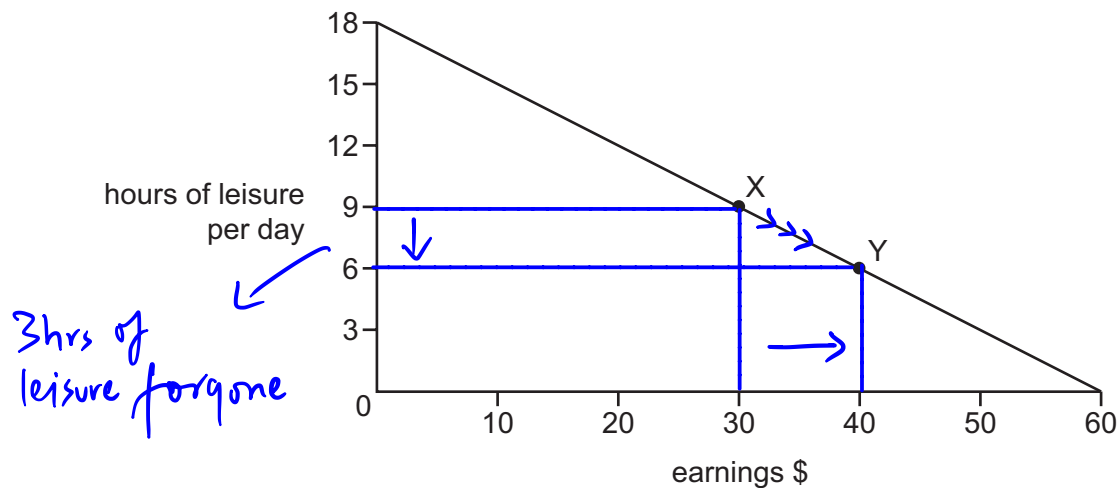


Rightward shift

What may cause the movement of the production possibility curve from  $PPC_1$  to  $PPC_2$ ?

- ✓ **A** a better educated workforce, potential ↑
- B** a decrease in availability of raw materials less resources
- C** increased wages cost ↑
- D** lower productivity potential ↓
- 2 An increase in the number of manufacturing robots in the car manufacturing industry represents an increase in the quantity of which factor of production?
- ✓ **A** capital (man. made resource)
- B** enterprise (Risk taker)
- C** labour (Human resource) or (Human capital)
- D** land (Natural resource)

- 3 The diagram shows the choices for an individual between leisure and earnings.



What is the opportunity cost to the individual of the extra earnings when moving from position X to position Y?

- A \$10  
B \$40  
✓ C 3 hours of leisure per day  
D 9 hours of leisure per day
- 4 A government taxes the production of cars.

What is likely to decrease?

- A the cost of supplying cars *cost ↑*  
B the price of cars *price ↑*  
C the revenue for the government *revenue ↑ as tax is imposed*  
✓ D the supply of cars at every price *S ↓*
- 5 Which pair of economic institutions can be found in a market economy? *Demand and Supply*
- A charities and public corporations *No*  
✓ B multinationals and commercial banks *(private sector)*  
C public corporations and private companies *No*  
D stock exchange and government hospitals *No*

External cost, cost to the third party

private benefit, benefit received by consumers and producers when they consume and produce.

- 6 Developers want to increase the size of a major retail shopping area in a city. It is thought that the proposal would create hundreds of jobs, be profitable for the shops but cause major traffic congestion.

What economic concepts are directly involved in this statement?

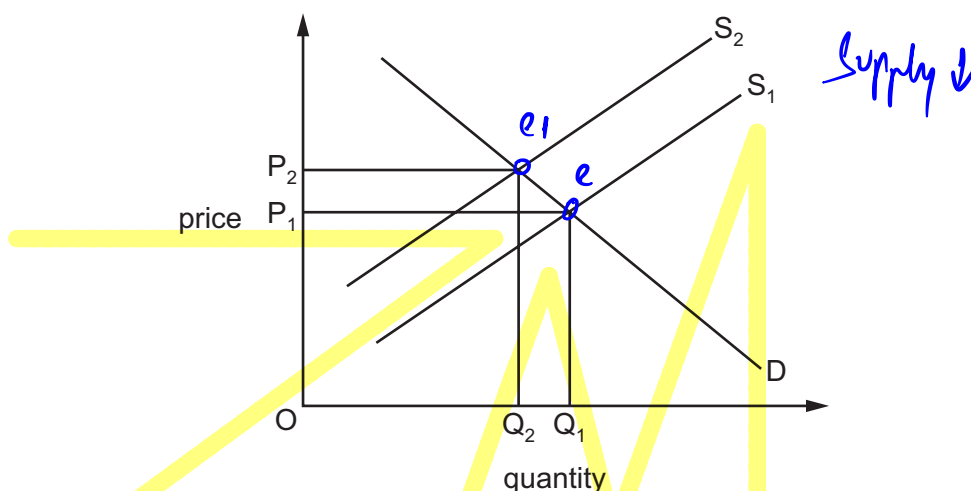
- A external cost and private benefit
- B income distribution and inelastic demand
- C private investment and a decrease in supply
- D social benefit and perfect competition

$$SB = PB + EB$$

$$SC = PC + EC$$

EB/EC: Externalities

- 7 The diagram shows the market for rice.



What would have caused the equilibrium price to rise from  $OP_1$  to  $OP_2$ ?

- A a government subsidy to rice farmers  $cost \downarrow, S \uparrow$
- B a successful advertising campaign for rice  $Demand \uparrow$
- C improved rice farming methods  $S \uparrow$
- D poor weather conditions  $S \downarrow$  (Less output)

- 8 What might a trade union usually be expected to do for its members?

- A arrange childcare facilities for members' children NO
- B ensure adequate promotion prospects exist NO
- C negotiate better working conditions YES
- D provide medical insurance NO

→ better pay and working conditions

9 What is the usual reason why citizens trust their country's banknotes?

☒ A They are acceptable for trade and exchange. *Medium of exchange*

☐ B They are backed by gold at the central bank. *No*

☐ C They are convertible into the US\$ or Chinese Yuan. *No, all currencies can be converted*

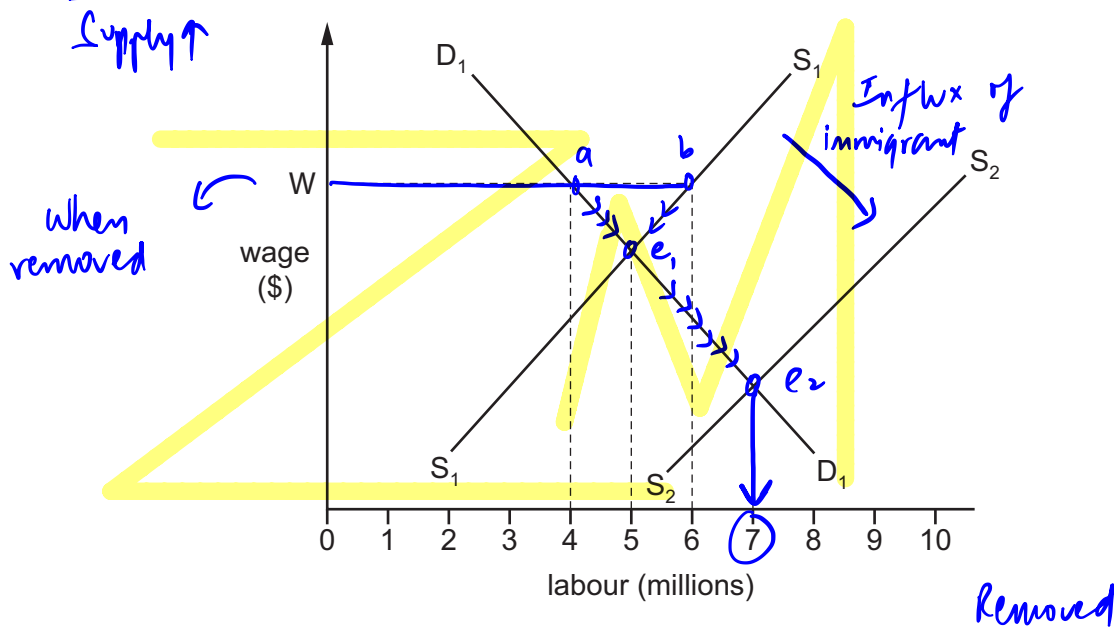
☐ D They are recognisable and in infinite supply.

*yes*

*not possible*

10 In the diagram,  $D_1D_1$  and  $S_1S_1$  represent the demand for and the supply of labour.  $W$  indicates a legal minimum wage.

An influx of immigrant labour causes the supply curve for labour to shift from  $S_1S_1$  to  $S_2S_2$ .



How many people will be employed if the minimum wage legislation is then abolished?

A 4 million

B 5 million

C 6 million

☒ D 7 million

11 The table shows how three people spend their income.

|                            | person X | person Y | person Z |
|----------------------------|----------|----------|----------|
| food, clothing and housing | 30%      | 25%      | 50%      |
| entertainment and leisure  | 35%      | 35%      | 25%      |
| luxury goods               | 35%      | 40%      | 25%      |

↑ highest

lowest

highest % on food etc.

↑↑

For these three people, what is the most likely order of income, from highest income to lowest income?

A X → Y → Z

✓ B Y → X → Z

C Y → Z → X

D Z → X → Y

highest % on luxury and entertainment

[Max difference TR - TC]

12 How does a firm guarantee that it makes the maximum profit?

✓ A by maximising the difference between its total revenue and total cost

B by maximising the number of goods that it sells Impact on revenue

C by minimising the number of goods that it keeps in stock Impact on revenue

D by minimising the difference between average revenue and average cost lower profit per unit

13 Which characteristic does a firm in perfect competition have in common with a monopoly?

A the ability to exclude rivals monopoly

B the benefit of internal economies of scale monopoly (large firm)

C the problem of diseconomies of scale monopoly

✓ D the wish to maximise profits

perfect competition and monopoly both wish to maximize profits.

- 14 The table shows the units of factors of production that a firm needs to employ for two different levels of output.

| land | labour | capital | output |
|------|--------|---------|--------|
| 5    | 2      | 4       | 100    |
| 10   | 4      | 8       | 150    |

Input = output

What is the firm experiencing?

- ☐ A constant returns to scale  
☒ B diseconomies of scale  
☐ C external diseconomies of scale  
☐ D external economies of scale

Inputs are doubled

output raised by 50%

Inputs > output: cost ↑

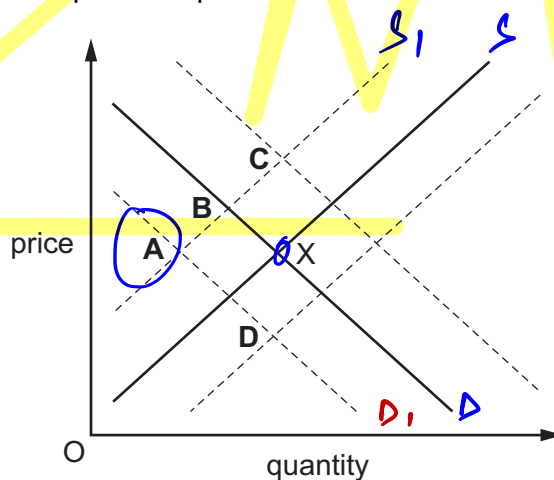
(Diseconomies of scale)

} other factors

- 15 The diagram shows the demand and supply of places in independent (private) schools which charge fees. The equilibrium position is X. ( $D=S$ )

The costs of independent (private) schools rise. Also a report is issued which states that Government schools achieve very good examination results.

What is likely to be the new equilibrium position?



cost ↑  
 $S \downarrow (S - S_1)$   
 Reaches 'B'

Government schools  $D \uparrow$

private (Demand ↓)  
 $(D - D_1)$

New equilibrium:  
 $D_1 = S_1$  (at A)

grow

- 16 A government wishes to stimulate economic recovery.

Which action will assist this?

- ☐ A decreasing government investment  $G \downarrow, AD \downarrow$   
☒ B decreasing income tax Expansionary fiscal policy  
☐ C increasing indirect taxation cost ↑,  $S \downarrow$ , output ↓  
☐ D increasing interest rates

↳ Contractionary monetary policy

Money supply ↑, interest rate ↓

17 What is an expansionary monetary policy?

- ✓ A a decrease in the interest rate, interest rate ↓, C ↑, I ↑, AD ↑
- B a decrease in the rate of value added tax indirect tax ↓, AS ↑
- C an increase in the power of trade unions cost ↑, AS ↓
- D an increase in the standard rate of income tax fiscal (contractionary)

Indirect tax

18 A government decides to make two changes to its taxation policies. It lowers the tax on petrol and raises the tax on food.

Indirect tax

How do these changes affect the regressive nature of the taxes?

|     | lower petrol tax | higher food tax |
|-----|------------------|-----------------|
| A   | less regressive  | less regressive |
| ✓ B | less regressive  | more regressive |
| C   | more regressive  | less regressive |
| D   | more regressive  | more regressive |

\* Indirect tax (regressive)  
Impact on poor

\* Direct tax (progressive)  
Impact on rich  
Income tax  
Corporation tax

19 The table shows a government's receipts from taxation.

|                      | \$m          |
|----------------------|--------------|
| air passenger duty   | 10 ✓         |
| company profits tax  | 100 → Direct |
| import duty          | 75 ✓         |
| income tax           | 200 → Direct |
| insurance policy tax | 10 ✓         |
| sales tax (VAT)      | 400 ✓        |

What is the total amount of revenue raised by indirect taxes?

- A \$95 m      B \$300 m      C \$400 m      ✓ D \$495 m (400 + 10 + 75 + 10)

Population

20 What is Gross Domestic Product (GDP) divided by to calculate GDP per head?

- A net migration
- B the birth rate
- ✓ C the total population
- D the working population

Negative inflation

9

Inflation → Better off: Borrowers  
Worse off: Lenders

Deflation → Better off: Lenders  
Worse off: Borrowers

21 Who is made worse off during a period of deflation?

- A cash holders (same as option D)
- B creditors (Lenders)
- ☒ C debtors (Borrowers)
- D fixed income earners (worse off at time of inflation)

22 The table gives information about three economic indicators in four countries.

|           | inflation<br>% | interest rates<br>% | unemployment<br>% |
|-----------|----------------|---------------------|-------------------|
| country W | 1.4            | 3.4                 | 10.2              |
| country X | 3.7 (High)     | 8.7 (High)          | 12.3              |
| country Y | 3.6            | 7.3                 | 14.2              |
| country Z | 2.1            | 6.0                 | 7.7               |

What may be concluded from this information?

- ☒ A Countries with higher inflation have higher interest rates. Country 'X'
- B Countries with higher interest rates have lower unemployment. NO, see country X and Y
- ☒ C The country with the lowest inflation had the highest unemployment. No, compare W with Y
- D The country with the lowest unemployment had the lowest inflation. NO, compare Z with W

Income ↑, output ↑

23 What must result when a country experiences economic growth?

- ☒ A a higher Gross Domestic Product Yes! Output ↑
- B a lower rate of inflation  $AD \uparrow, AD \uparrow > AS: P \uparrow$
- C a surplus on the balance of trade  $Income \uparrow, imports \uparrow, surplus \downarrow$  or deficit
- D an improved standard of living for everybody Not for everybody as growth creates inequality

24 Why may the figure calculated for a developing country's Gross Domestic Product be inaccurate?

- A There are unused resources. → no issue created
- B There is a high reliance on imports. → in terms of recording
- ☒ C There is a large amount of subsistence farming. → GDP data.
- D There is a small amount of skilled labour.

output produced  
for own use, so  
data not recorded,  
as it doesn't reach to the market

25 The table gives information on four countries.

Which country is likely to be most developed?

$\text{GDP per head to be highest} = \frac{\text{GDP}}{\text{Total population}}$

|   | low<br>population<br>(m) | High<br>Gross Domestic<br>Product<br>(\$ billion) | High<br>life<br>expectancy<br>(years) | GDP per<br>head: |
|---|--------------------------|---------------------------------------------------|---------------------------------------|------------------|
| A | 100                      | 800                                               | 51                                    | 8                |
| B | 200                      | 6000                                              | 62 ✓                                  | 30 (Highest)     |
| C | 300                      | 600                                               | 48                                    | 2                |
| D | 1000                     | 1600                                              | 63                                    | 1.6              |

26 It has been predicted that by 2050 China will have 53 million fewer children under 14, 100 million fewer workers and 234 million more people aged over 60.

What will be the likely effect in China of these changes?

- labour force ↓
- Ageing population
- A The dependency ratio will fall. *it will rise*
  - B The Government's expenditure will fall. *↑ on people over 60 (e.g. retired (pensions))*
  - C The Government's income will fall. *yes, Labour force ↓, Tax revenue ↓*
  - D The total population will fall. *(Data needed of birth rate, death rate, population)*

27 What might cause the balance on the current account of Mauritius to improve?

- A increased purchases of coffee from Kenya *Imports ↑, -ve*
- B increased transport of Mauritian goods in Greek ships *Greek benefits*
- C increased spending by Mauritians on holidays in South Africa *spending abroad, -ve*
- D increased spending by tourists in Mauritian hotels *inflows, +ve*

28 A country says that it wishes to increase its trade protection policies.

What might that involve?

- e.g. Tariff, quota, embargo, devaluation, subsidy, exchange control etc.*
- A conservation of resources and taxes on external costs
  - B eliminating waste in the use of resources and grants to multinational companies
  - C increased self sufficiency and increased tariffs *(Tariff: Tool of protectionism)*
  - D price controls and increased regulations on domestic monopoly industries

nothing related to trade protection

micro

Specialize in an industry, workers will be occupationally immobile

11

- 29 It has been suggested that all countries producing arms should ban the export of weapons and cut production in order to reduce the risk of war.

What would happen if this occurred?

- A The balance of payments on current account of countries exporting weapons would immediately improve. *It will worsen*
- B The price of existing weapons would fall. *It will rise, as production is cut,  $\downarrow$*
- C There would be a risk of structural unemployment in countries that are major producers of weapons. *wrong*
- D There would be no overall effect on the balance of payments as countries would produce their own weapons.

- 30 70% of the 10 million kilograms of tea produced in India is exported. The UK, Japan, and Germany buy the most.

Wholesale prices rose 10% in 2013 as supply was restricted because of a strike.

How would these circumstances be shown in international trade accounts?

- A a credit on the goods and services account for Germany *No, Germany imports, so debit.*
- B a debit on the goods and services account for Japan *Yes, outflow*
- C a 10% fall in the balance of the goods and services account for India
- D a 10% rise in the balance of goods and services account for the UK

]} Data is given regarding price, no impact given on quantity or revenue.

Credit = +ve (inflow)  
Debit = -ve (outflow)

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